

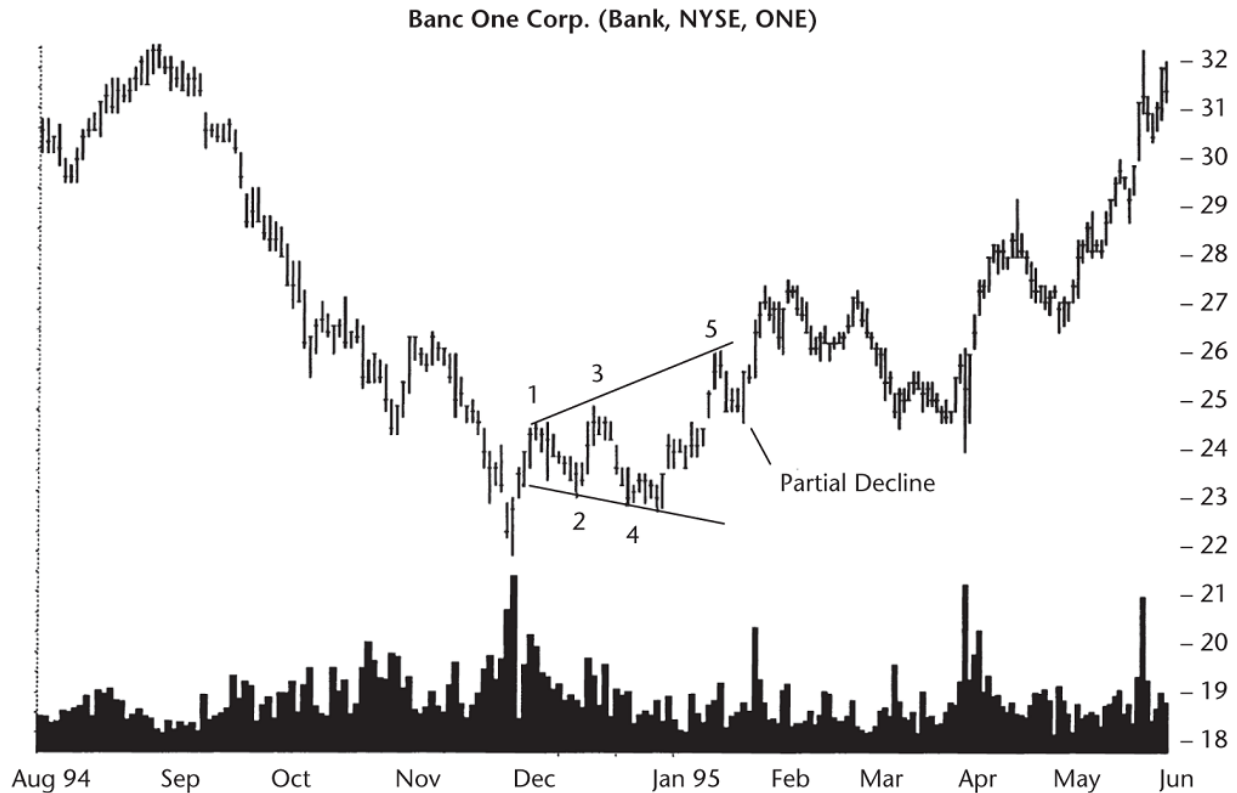


Figure 8.1 A broadening bottom, specifically a five-point reversal, so-called because of the five touchpoints: two minor lows (the even numbers) and three minor highs (the odd numbers).

If you ignore undershoot in this case, the broadening bottom appears at the bottom of the downtrend, hence the pattern is a broadening bottom and not a top.

This particular chart pattern shows a partial decline which correctly predicts an upward and immediate breakout. Price moves down from 26 to 24.50, reverses course, and shoots out the top. The stock reached a high of 38.50 just over a year later.

Identification Guidelines

Table 8.1 lists identification guidelines for broadening bottoms.

Appearance. The shape of the broadening bottom reminds me of chaos theory where small disturbances oscillate back and forth, then grow unbounded, wreaking havoc.